

YUSH

Spotting Absorption

with Big Trades & Delta Profile

THE ONE-LINE DEFINITION

Absorption = a big aggressive trade prints (large bubble) and the delta profile lights up at that level — but price refuses to follow. Someone passive ate the order. The next move usually goes *against* the side that just got eaten.

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01

Why this matters: who eats whom in order flow

Most chart-based traders study what price *did*. Order flow traders study what price was *trying* to do — and who stopped it. Absorption is the moment the impatient side throws everything it has at a level and the patient side simply eats it without flinching.

If you can recognize that moment in real time, you can position with the side that was strong enough to absorb, before the rest of the market figures out the move failed. That's the entire pitch.

MENTAL MODEL

Picture a wall and someone hurling baseballs at it. Each ball is a market order. The wall is a stack of resting limit orders. If the wall doesn't crack despite a barrage of balls, you've just witnessed absorption. The thrower — exhausted and out of inventory — usually walks away. That walk-away is the move you trade.

02

The two tools: big-trade bubbles & the delta profile

You only need two visualizations to do this well:

Big-trade bubbles

Bubbles are circles drawn on the chart at the price and time where a large aggressive order printed. **Green bubble** = aggressive buy (market order lifted the offer). **Red bubble** = aggressive sell (market order hit the bid). The **size** of the bubble scales with the number of contracts; the number inside is the exact contract count. Most platforms let you set a minimum threshold (e.g. only show trades over 100 contracts on ES) so the chart only lights up when something meaningful happens.

Delta profile (the bars on the right)

Running down the right edge of the chart, the delta profile shows the **net delta at every price level** traded during the visible window. Each row is a single price. The bar's length is the magnitude of the delta. The color encodes the sign: **green** for positive delta (more aggressive buying than selling at that price) and **red** for negative delta (more aggressive selling than buying). The number printed next to the bar is the exact net delta in contracts.

READING THE CHART

 Aggressive BUY (green) Aggressive SELL (red) + Delta level - Delta level

THE COMBO IS THE EDGE

Either tool alone is noise. **Together** they tell the whole story: the bubble shows how hard one side hit the level, the profile shows the net result of the fight at that level, and the candles show whether price actually moved as a result. When the first two scream and the third yawns, that's absorption.

The absorption signature — four conditions

When experienced traders say they "saw absorption," they almost always mean four things lined up at once:

1. A big bubble fires at the level

An unusually large aggressive trade — well above the threshold you've set for the instrument. Multiple bubbles stacked at the same level count as one event.

2. The delta profile confirms the aggression

The bar at that exact price prints a heavy delta in the direction of the bubble's color: a big red bubble should pair with a heavily negative delta row, and vice versa.

3. Price refuses to follow

Despite all that aggression, price doesn't extend. The candle wicks the level and closes back through, or barely moves at all.

4. A reversal — or stall — follows shortly after

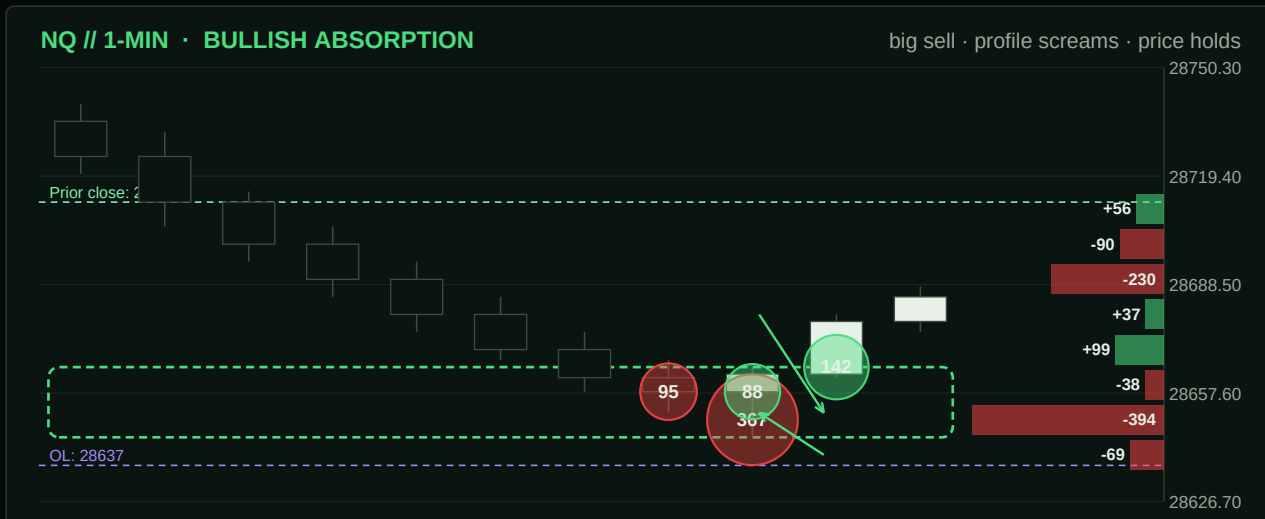
If absorption is real, the aggressors run out of inventory and the passive side starts pushing back, often within a few bars.

THREE OUT OF FOUR IS A QUESTION, FOUR OUT OF FOUR IS A SIGNAL

Single-condition matches happen all day and mean nothing. The edge comes from waiting for the full stack to line up. Discipline here is the entire skill.

Bullish absorption: a walkthrough

Setup: NQ futures sells off into the prior session low at **28,650**. Sellers are aggressive — you can feel it in the tape. Then this prints:



Aggressive sellers fired a 367-contract market sell at 28,650. The delta profile shows -394 at that exact row. Yet the candle wicked the level and closed green.

Read the chart top-down:

- **The big bubble:** a 367-contract red bubble (aggressive sell) fires right at 28,650. That's a major player dumping size into the prior low.
- **The delta profile:** the row at 28,652 shows **-394** — by far the heaviest negative delta in the visible window. Sellers were in full control at that price.
- **Price action:** despite all that selling, price wicked down, **didn't break** the level, and closed back up green. Every one of those 367 sells was filled by a passive buyer who didn't budge.
- **Confirmation:** the very next bubble is a small green print above the absorption — buyers stepping in once the seller's inventory was gone.

TRADE IDEA

Entry: long on a confirmed reclaim of 28,665 (mid of the absorption bar) or on close of the absorption candle.

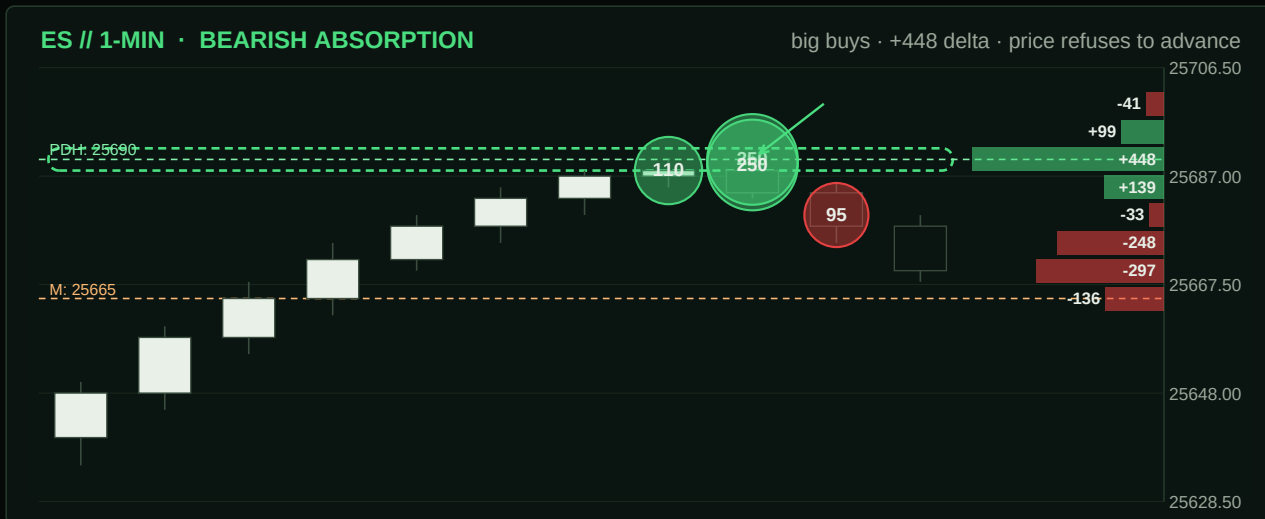
Stop: 2-3 ticks below 28,645 (the absorption low).

Target: first liquidity pocket above — often the **overhead Value Area Low** or prior swing. Manage at +1R.

Invalidation: a second test where another big red bubble fires AND price ticks through the absorption low. The absorbing bid was lifted — get out.

Bearish absorption: the mirror image

Same logic, opposite direction. Price rallies into a known supply zone — say, the prior session high at **25,690**. Buyers chase aggressively. Then this prints:



Two stacked 250-contract green bubbles at 25,690. Profile shows +448 at that row. Price tags the level and rolls. Buyers got eaten.

- **The big bubbles:** two 250-contract green bubbles stacked at 25,690 — that's 500 contracts of aggressive buying at the prior high.
- **The delta profile:** +448 at the level. Massive net buying pressure concentrated in one tick.
- **Price action:** tagged 25,690, didn't advance, closed back down. All that buy aggression got nothing for it.
- **Confirmation:** the next bar prints a small red bubble below — buyers giving up, sellers returning.

WHY THIS IS A HIGH-CONVICTION SETUP

When you see **multiple bubbles stacked** at the same level AND the delta profile shows the heaviest reading in the window, that's the strongest version of the signal. Single bubbles can be one-off events; stacked bubbles + extreme profile = a passive iceberg sitting there waiting to be hit. That iceberg defines the level.

Reading the combo: bubble vs profile vs price

All three signals have to agree before you act. The matrix below tells you what each combination actually means:

BUBBLE	PROFILE AT LEVEL	PRICE	READ
Big red bubble at low	Heavy negative delta	Holds level	Bullish absorption
Big green bubble at high	Heavy positive delta	Stalls at level	Bearish absorption
Big bubble (any side)	Heavy delta same side	Breaks through	Continuation — pass
Big bubble at level	Profile is flat	Holds	Suspect — wait for confirmation
No bubbles	Heavy delta on profile	Anything	Passive flow only — no edge
Bubbles on both sides	Profile near zero	Choppy	Two-way fight — stay out

THE 'PROFILE IS FLAT' TRAP

If a giant bubble fires but the delta profile barely registers at that level, be skeptical. That doesn't represent real one-sided aggression. Real absorption requires *sustained* pressure that shows up on the profile, not a single drive-by print.

Filters: when to trust it, when to fade it

Absorption is a context signal, not a stand-alone signal. Trust it most when:

- ✓ It happens at a **known structural level** — market-generated levels, Value Area High / Value Area Low, low-volume nodes, prior session high/low, or opening range.
- ✓ It comes **after a stretched move** — the further price has extended in one direction, the more meaningful absorption against that move becomes.
- ✓ **Multiple bubbles stack** at the same level — that's the fingerprint of an iceberg order quietly refilling.
- ✓ The level delta is at least **2-3× the size** of any other delta row in the visible window. Relative size matters more than absolute.

Be skeptical when:

- ✗ It happens **mid-range** with no level nearby — price has nothing to lean against.
- ✗ Volume looks heavy but is actually **average for the time of day** (open, close, news minutes).
- ✗ There is **no follow-through** within 2-3 bars — real absorption produces a reaction quickly.
- ✗ The bubble fires but the **delta profile barely shows it**.

A trade plan template

STEP	BULLISH ABSORPTION	BEARISH ABSORPTION
Trigger	Big red bubble + heavily negative delta at support, price holds.	Big green bubble + heavily positive delta at resistance, price stalls.
Confirmation	Next bar holds; small green bubble appears; offers pull back.	Next bar holds; small red bubble appears; bids pull back.
Entry	Reclaim of mid of the absorption bar, OR break of bar high.	Loss of mid of the absorption bar, OR break of bar low.
Stop	1-2 ticks below the absorption low.	1-2 ticks above the absorption high.
First target	Overhead Value Area Low / nearest market generated level / prior swing.	Underside Value Area High / nearest market generated level / prior swing.
Invalidation	Another big red bubble retests AND price ticks through.	Another big green bubble retests AND price ticks through.

Common mistakes & pre-trade checklist

Mistakes that ruin the edge

- **Trading bubbles without a level.** No structure = no edge. The level gives the passive side a reason to defend.
- **Trusting the bubble alone.** A single big print without supporting delta-profile depth is just one trade.
- **Trusting the profile alone.** Heavy delta with no big bubble means the volume came from many small participants, not a committed aggressor. Less predictive.
- **Front-running the read.** Entering inside the absorption bar before it closes is gambling on a snapshot.
- **Holding past the first liquidity pocket without a reason.** Absorption trades are mean-reversion in their first leg.

PRE-TRADE CHECKLIST (60 SECONDS)

1. Is there a known level nearby? Yes / No
2. Is there a **big bubble** at the level? Yes / No
3. Does the **delta profile row** at that price show 2-3× the average magnitude? Yes / No
4. Did price **fail to extend** through the level? Yes / No
5. Is my stop < 1.5× ATR(5)? Yes / No

Four or five yeses → take the trade. Two or fewer → pass and wait.

Glossary

TERM	MEANING
Absorption	Aggressive flow into a level being eaten by passive limit orders, with little or no price movement.
Aggressor	The party that crosses the spread with a market order.
Big-trade bubble	A circle on the chart showing a single large aggressive trade. Color = side, size = contracts.
Delta	Ask volume minus bid volume; positive = net buying aggression, negative = net selling aggression.
Delta profile	Net delta plotted per price level over a window, shown as horizontal bars on the right edge of the chart.
Iceberg order	A large limit order that displays only a small size and auto-replenishes as it fills. Common cause of stacked-bubble absorption.
Level delta	The single delta value at one specific price row on the delta profile.
Liquidity pocket	An area of the chart with little resting volume where price tends to travel quickly.
Low volume node	A price where very little volume traded — price tends to slice through these quickly.
Passive order	A resting limit order waiting in the book.
Stacked bubbles	Multiple big-trade bubbles printing at the same or nearly the same price — a strong signature of an iceberg defending a level.
Trapped traders	Aggressors who entered late and find themselves offside as the move reverses.
Value Area	The price range where ~70% of a session's volume traded. Edges (VAH / VAL) are mean-reversion magnets.

Companion game: open *Absorption Hunter* alongside this manual. Six fast scenarios with bubbles + delta profile — call the play, see what the tape did. Together they form a complete loop: study the manual, then drill the read until it's instinct.